HDFC has also always had a very low default rate primarily because of its policy of granting loans based on repayment capacities. Deepak also attributes this to a number of other factors, the most important being that the vast majority lived in self-occupied houses so there was no question of defaulting. For a middle-class person a house was a cherished goal. Also, HDFC only lent up to 70 percent so the borrower's equity was also there. With property prices always on the way up there was even lesser chance that a borrower would default. But HDFC was also prompt with its follow-up to keep arrears under control. Deepak recalls that they would request those companies which had a number of its employees who had taken loans from HDFC to deduct the installment at source and get one cheque from that company. They also took post-dated cheques in cases where chances of default appeared to be high. Getting individuals with a higher net-worth to become guarantors was another way of ensuring repayment. To those who did default, HDFC adopted a soft approach, empathizing with the defaulter, the middle class ethos working in HDFC's favour.

Another feature which distinguishes HDFC from other institutions is the extremely low employee turnover. Most who came to HDFC stayed. 'It's how you treat people and the culture of management that matters', avers Deepak. Satwalekar believes that the open style of management resulted in developing an environment where new ideas were easily accepted. He observed, 'This great psychic income that one gets at HDFC is the main cause of people's attraction towards HDFC.'[31] Pradip Shah referred to HDFC's distinct culture. According to him the bonhomie and camaraderie, the willingness, and responsiveness to change and accept innovations is the most important aspect of HDFC culture.[32]

In 1987, HDFC completed a decade of its existence, something which coincided with the International Year of Shelter for the Homeless. Entrepreneurial success can be achieved by clear market identification, efficient resource use, and efficient management. HDFC's own beginnings were born of these ingredients at a time when housing finance to individuals even as a concept was thought premature in the Indian context. By its performance over a decade HDFC showed that retail housing finance was not only possible, but was commercially viable and economically essential. Parekh never failed to stress that housing finance was an integral component of the financial sector and no strategy that attempted to develop